This marked a significant departure from India's uneven trade posture in Modi's first term, when the government harboured deep scepticism about FTAs. In 2019, India even walked away from the 15-nation Regional Comprehensive Economic Partnership (RCEP) negotiations, wary of opening sensitive sectors such as dairy, and anxious about a further surge in imports, especially from China. Economically, this signalled that India was not ready to sign a mega deal in which it had limited leverage. Then came COVID-19, supply-chain shocks and the brutal reality of a world reorganising around trusted partners.

CHANGING TACK

The post-2020 years saw a sharp pivot towards promoting exports. One major reason was that exports, especially in goods, had begun to plateau. The weaknesses in goods exports was masked by surging services exports, which became a global success story. Overall, exports account for 21 per cent of India's GDP but barely 2.5 per cent of global exports, compared with China's 15 per cent. India's growth now depends heavily on government capital expenditure and public consumption, with both private investments and exports failing to pull their weight. The manufacturing sector's contribution to the GDP has hovered around 17 per cent, well short of the 25 per cent target the Modi government had set a decade ago.

AUTO & AUTO PARTS



In the Driver's Seat

Auto components makers gain the most in the new deals

The trade agreements with the US and the EU could reshape India's automotive sector, though the gains will be uneven across vehicle and auto components manufacturers. The backdrop is important: India is the world's fourth-largest vehicle producer, after China, the US and Japan, but it remains a marginal exporter of finished automobiles to advanced markets. The real opportunity lies in components, where India is competitive on cost and engineering but still far behind the global leaders in scale. The Indian automotive components industry is worth around $80 billion (Rs 7.3 lakh cr.), of which $23 billion (Rs 2.1 lakh cr.) is exported, with Europe and the US being its major markets.

When it comes to the US pact, a long-standing Trump-era irritant—high tariffs on American luxury cars and motorcycles—has finally been addressed. India will cut tariffs on high-end internal combustion engine (ICE) cars to 30 per cent from levels as high as 110 per cent, while duties on Harley-Davidson motorcycles will be eliminated altogether. Electric vehicles remain excluded, leaving Tesla outside the ambit of concessions. Tariff reductions on ICE vehicles above 3,000 cc will be phased in over a decade, signalling a calibrated opening up.

The India-EU free trade agreement is more ambi-

PHARMA



A Dose of Certainty

The future looks brighter for Indian generics and biosimilars

India's pharmaceutical industry, often described as the 'pharmacy to the world', stands at a critical inflection point following the signing of trade agreements with the US and the EU. In FY25, India exported medicines worth $30.5 billion (Rs 2.8 lakh cr.), supplying around 20 per cent of global generic medicines by volume and nearly 40 per cent of generic demand in the US. The US alone accounts for $10 billion (Rs 90,600 cr.) of India's pharma export—about a third of the total—while exports to the EU stand at $5.8 billion (Rs 53,000 cr.) or 19 per cent.

At the heart of industry concerns was the US Section 232 probe, invoked in April last year, that allows investigation of pharmaceutical imports on national security grounds. The Indo-US trade deal has helped ease this policy overhang. Even if tariff structures change after the Section 232 investigation concludes, Indian generics are expected to receive preferential or negotiated tariff treatment, reflecting their role in ensuring affordable healthcare.

"This is a defining moment for pharma, serving 47 per cent of US generic prescriptions. Excipients

US DEAL

Pharma exports to the US (FY25)

$10 bn

0% | 0%#

Medical devices exports (FY24)

$800 mn

50% | 18%

Medical devices imports from the US (FY24)

$1.5 bn

India to eliminate restrictive import licensing procedures

Earlier tariff | Tariff now